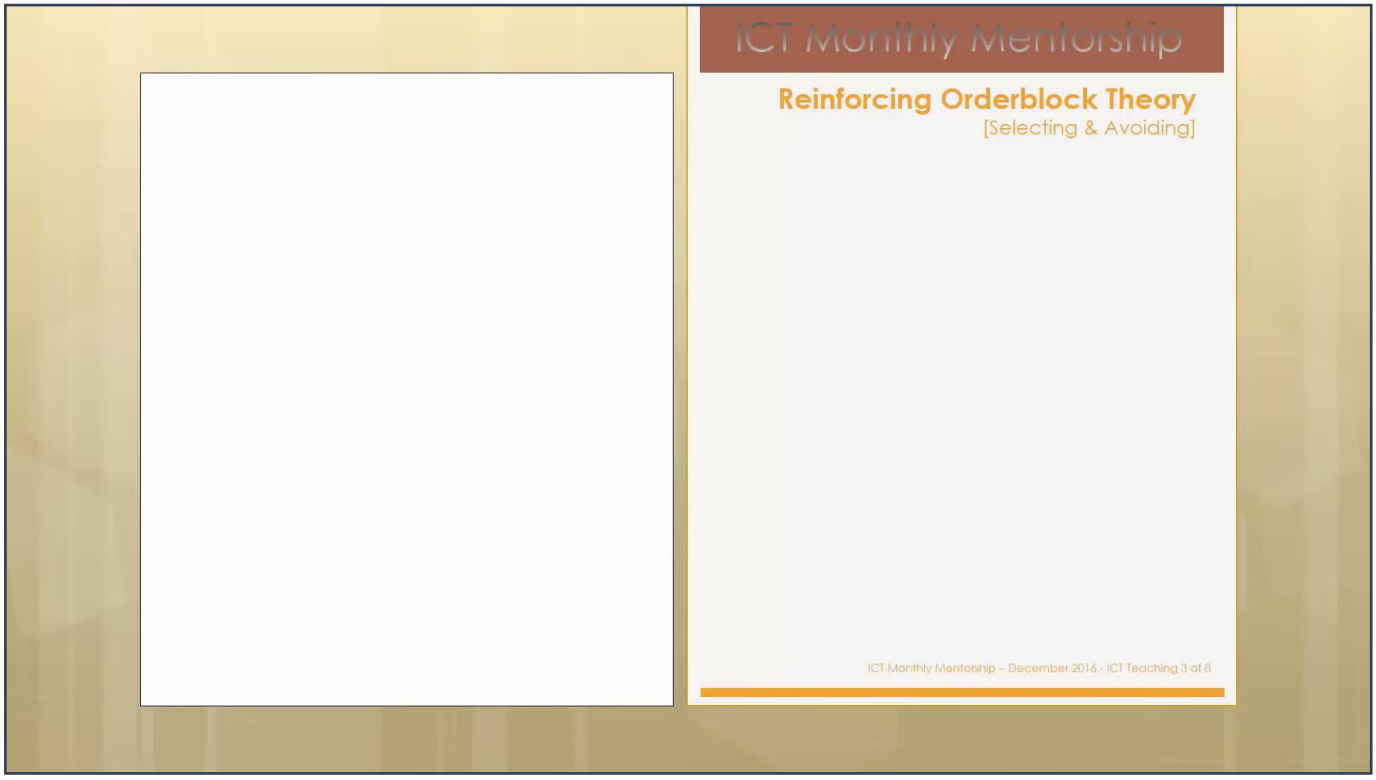
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 04 - ORDERBLOCKS



This session reinforces Order Block theory, focusing on selection and avoidance. The discussion begins with the bullish order block, with the understanding that all concepts are reversed for a bearish order block.

DEFINITION OF A BULLISH ORDER BLOCK

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00:01:00

A bullish order block is defined as the lowest candle or price bar with a down close that:

- Has the most range between its open and close.

- Is near a support level.

VALIDATION AND ENTRY TECHNIQUES FOR A BULLISH ORDER BLOCK

TIMESTAMP: 00:01:18

Validation occurs when the high of this lowest down candle (the potential bullish order block) is traded through by a later-formed candle or price bar. For entry:

- When price trades higher away from the bullish order block.

- Then returns to the bullish order block candle or price bar high.

- This retracement can be used for a bullish entry.

DEFINING RISK WITH A BULLISH ORDER BLOCK

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Risk management is crucial for bullish order blocks:

- The low of the bullish order block is the location for a relatively safe stop loss placement.

- Placing the stop loss just below the 50 percent of the order block's total range (mean threshold) is also considered a good location.

- This can be used to raise the stop loss after price runs away from the bullish order block to reduce risk when applicable.

Support levels can manifest as:

- An old low on a long-term or higher time frame chart (e.g., monthly, weekly, or daily).

- An old high where price has recently moved above and is now retracing back into.

- Simple support/resistance ideas are sufficient, but they should be identified on higher time frame charts.

WAITING FOR SMART MONEY INDICATION

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Once price trades down into a support level (either to it or just through it), wait for indications that 'smart money' or large institutional flows are participating:

- This participation will be evident in price action.

- A down candle near the support level is a suspected bullish order block, but it's not yet validated.

VALIDATING THE BULLISH ORDER BLOCK

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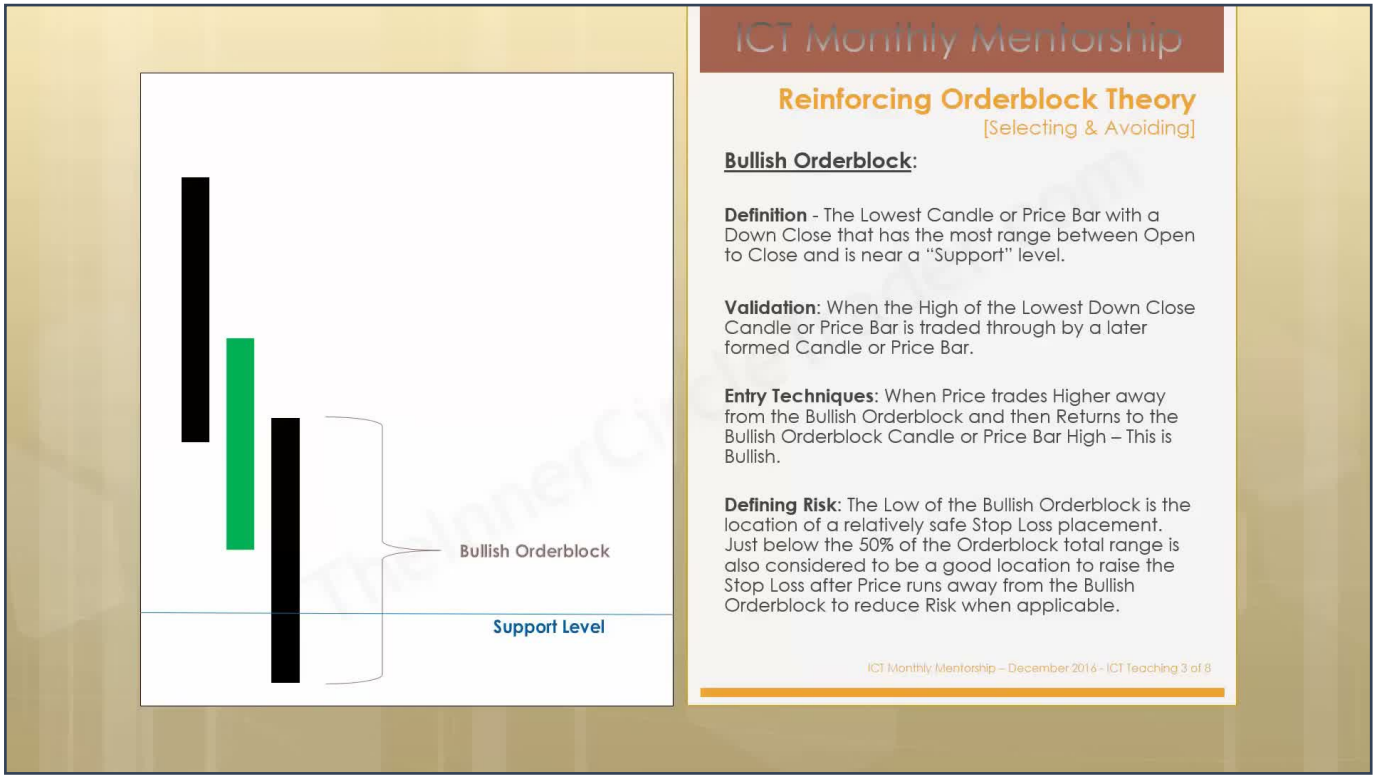
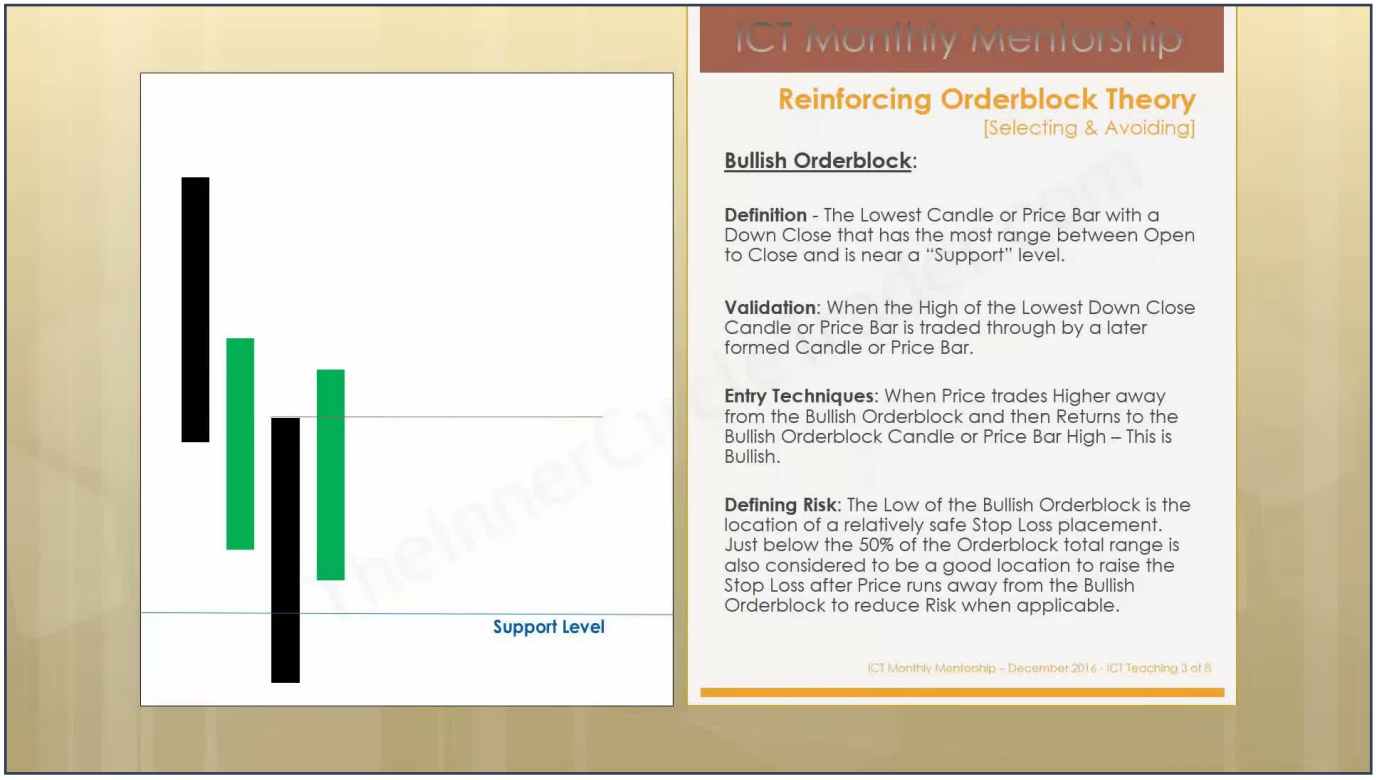


A bullish order block is specifically validated when the high of the down candle is violated by a new candle trading through it. At this moment:

- The down candle's high, or the bullish order block's high, can be highlighted.

- Even in the very candle that broke the down candle's high, if it trades back down to that level, it could present an early long entry or a day trade opportunity.



Eventually, price will run away from the order block. If an early entry on a re-trade was missed, wait for a pull back.

- Indications of 'displacement' in the marketplace suggest institutional sponsorship.

- This means a large entity with significant money and interest in higher prices is now in play.

- Institutional traders can move prices, unlike retail traders, and their participation is evidenced in price action.

PATIENT WAITING AND CANDLE BODY FOCUS

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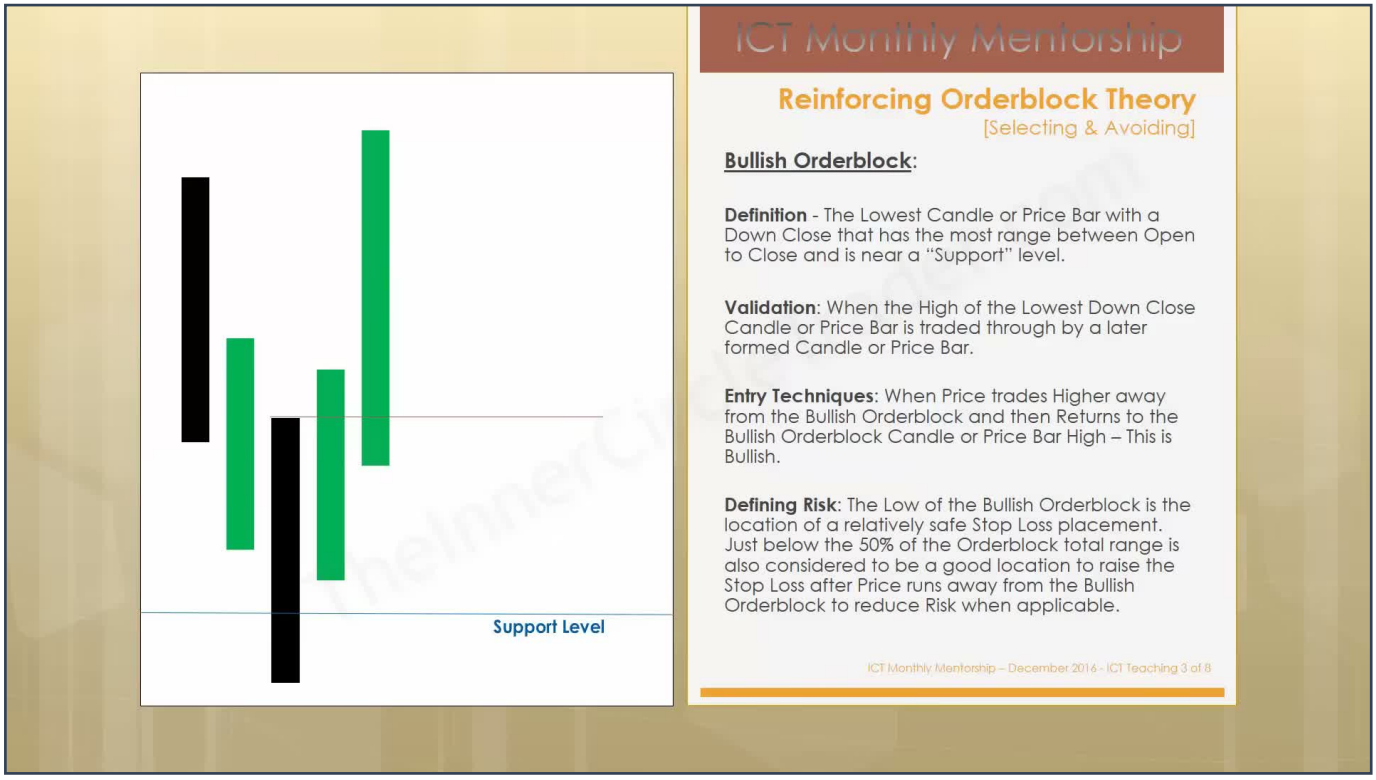
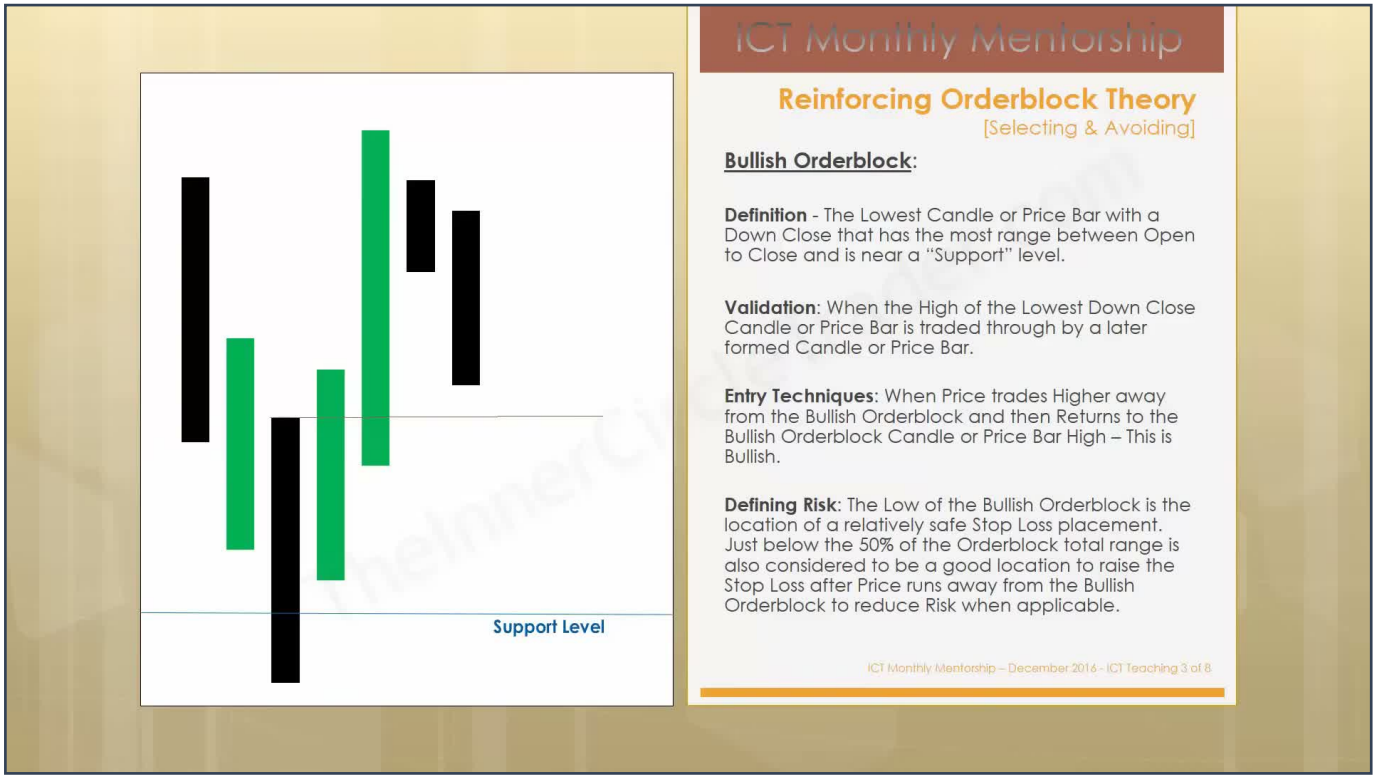


Patience is key:

- Anticipate price to retrace back down into the down candle (bullish order block high).

- Identify the high on that candle. Primarily focus on the bodies of the candles when discussing order blocks.

- Wicks will be discussed in relation to fair value gaps, which clarify when to use wicks versus candle bodies.



As price approaches the order block's high:

- Set alerts on your trading platform (text, email, audible alarm).

- While waiting, formulate your trade idea, including risk, position size, and profit targets.

- This planning should be done before price reaches the entry level.

EXECUTING THE LONG ENTRY

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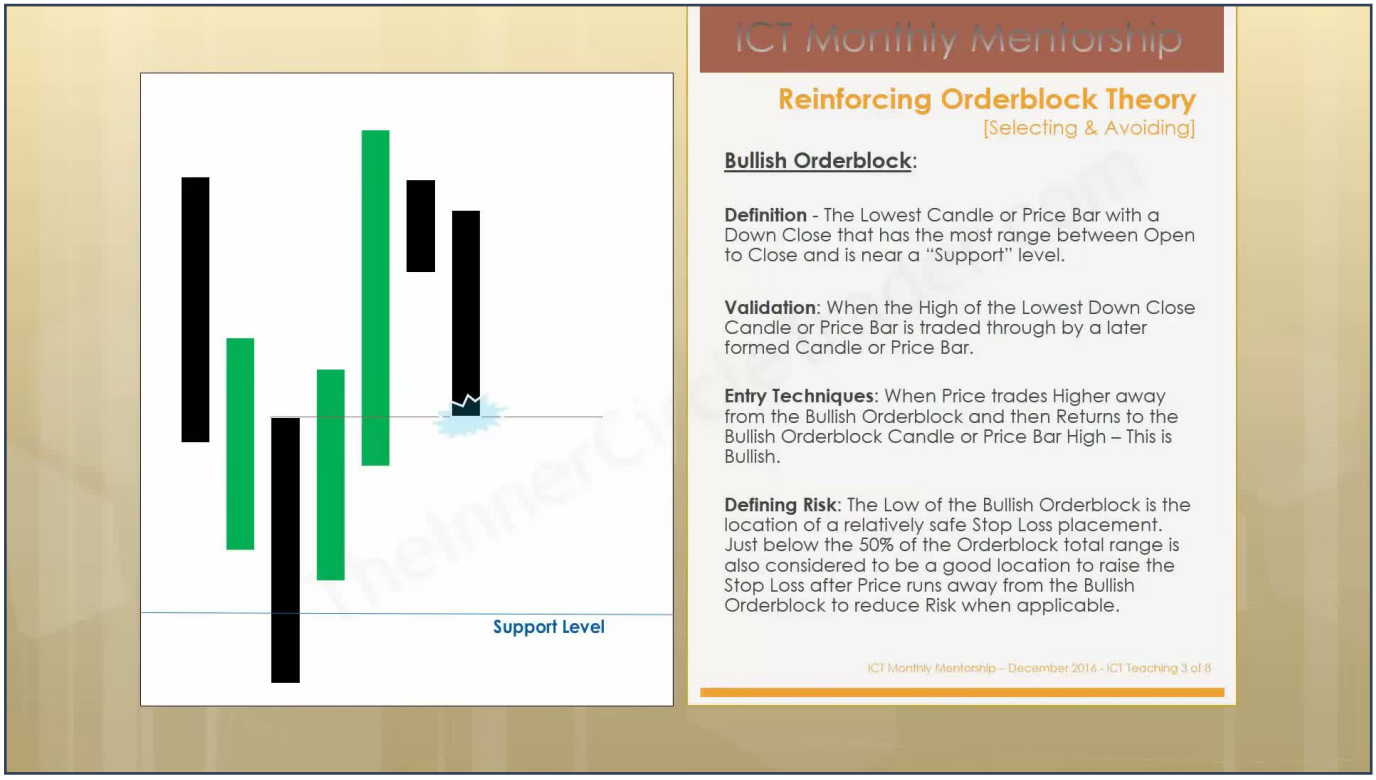

When price drives down into the down candle or bullish order block high:

- Enter a long position.

- For a limit order, add a few pips (preferably five pips) above the opening for a bullish candle to account for spread.

- Alternatively, execute a market order as price hits the level.

- While price might drive deeper into the order block, initially focus demo entries on the down candle's body high/open.

INTERNAL AND EXTERNAL RANGE LIQUIDITY

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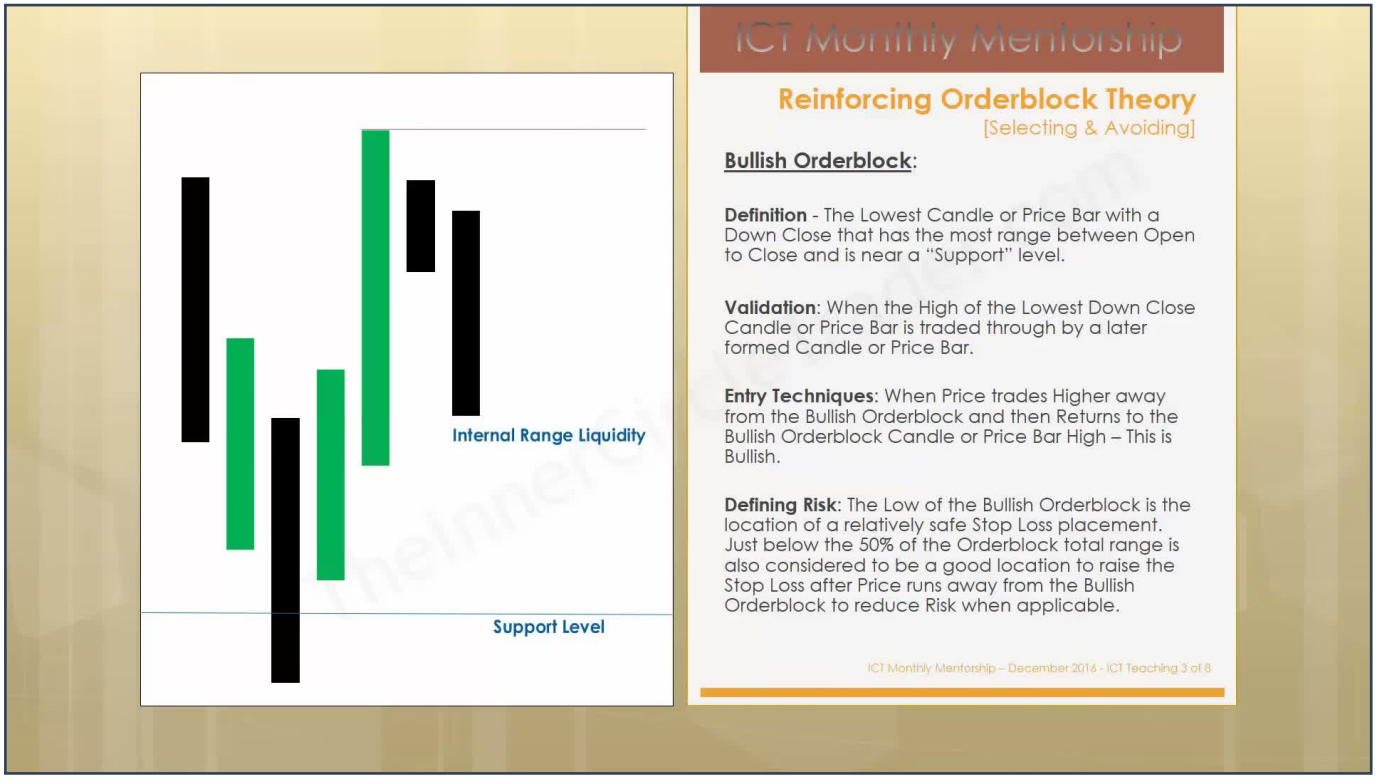

The entry at the bullish order block high is based on 'internal range liquidity' within a defined range.

- The goal is to see an expansion up into a 'known level' of 'external range liquidity'.

- External range liquidity, typically above an old high where buy stops are resting, is the target for offsetting long positions (taking profits).

PROFIT TAKING AND RISK MANAGEMENT WITH MEAN THRESHOLD

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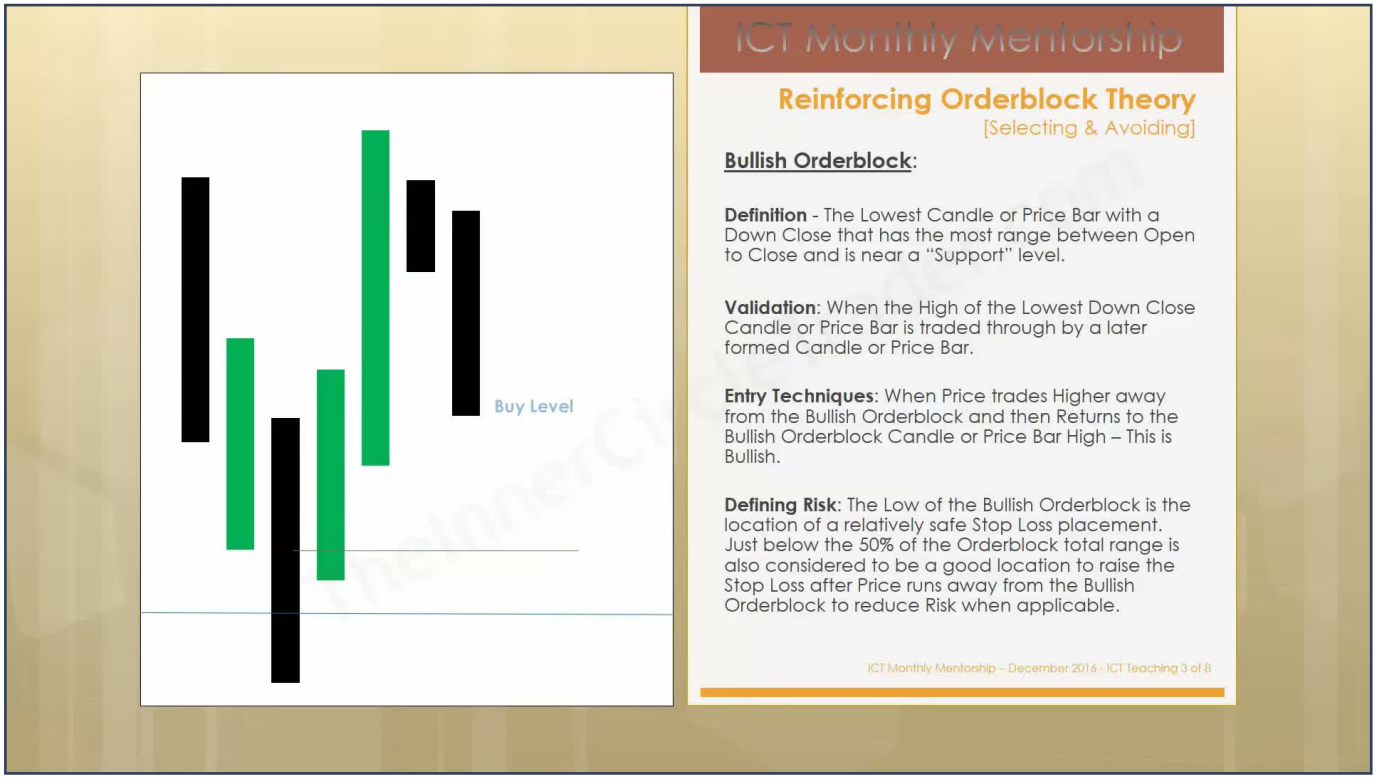

Before entering, ideally, know where profits will be taken (above an old high, targeting buy stops).

For risk:

- The entry is at the open of the down candle (or five pips above).

- Focus on the midway point of the down candle's body, known as the 'mean threshold'.

- Measure the open to the close of the down candle (excluding wicks) to find the 50 percent level.

MEAN THRESHOLD FOR OPTIMAL ORDER BLOCKS

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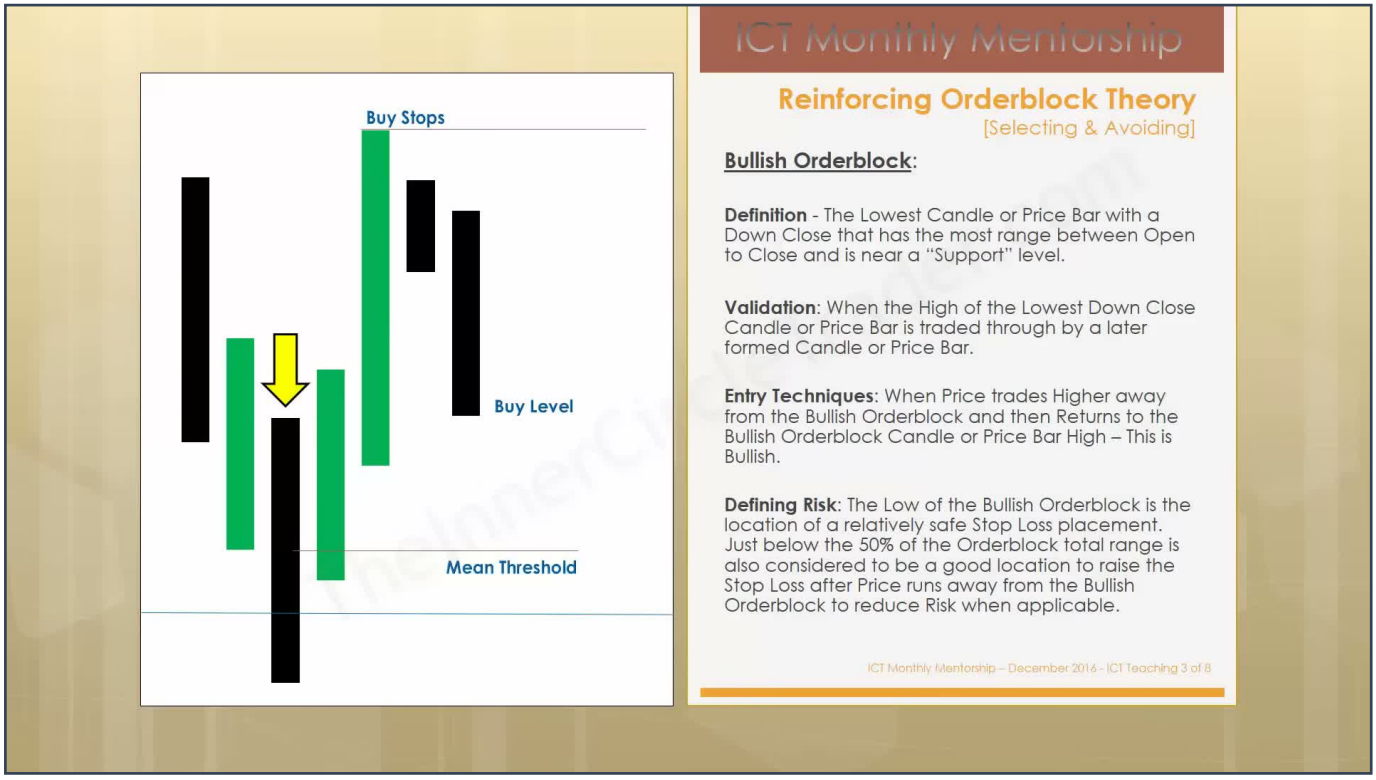

Ideally, the best bullish order blocks will not see price trade below the mean threshold (midway point of the body).

- Price can stab through it slightly, but ideally, it should not trade down there at all.

- The protective sell stop is placed below the bullish order block's low, specifically below the close of the candle's body (or the wick's low if applicable).

ANTICIPATED PRICE RESPONSIVENESS AND PROFIT TAKING

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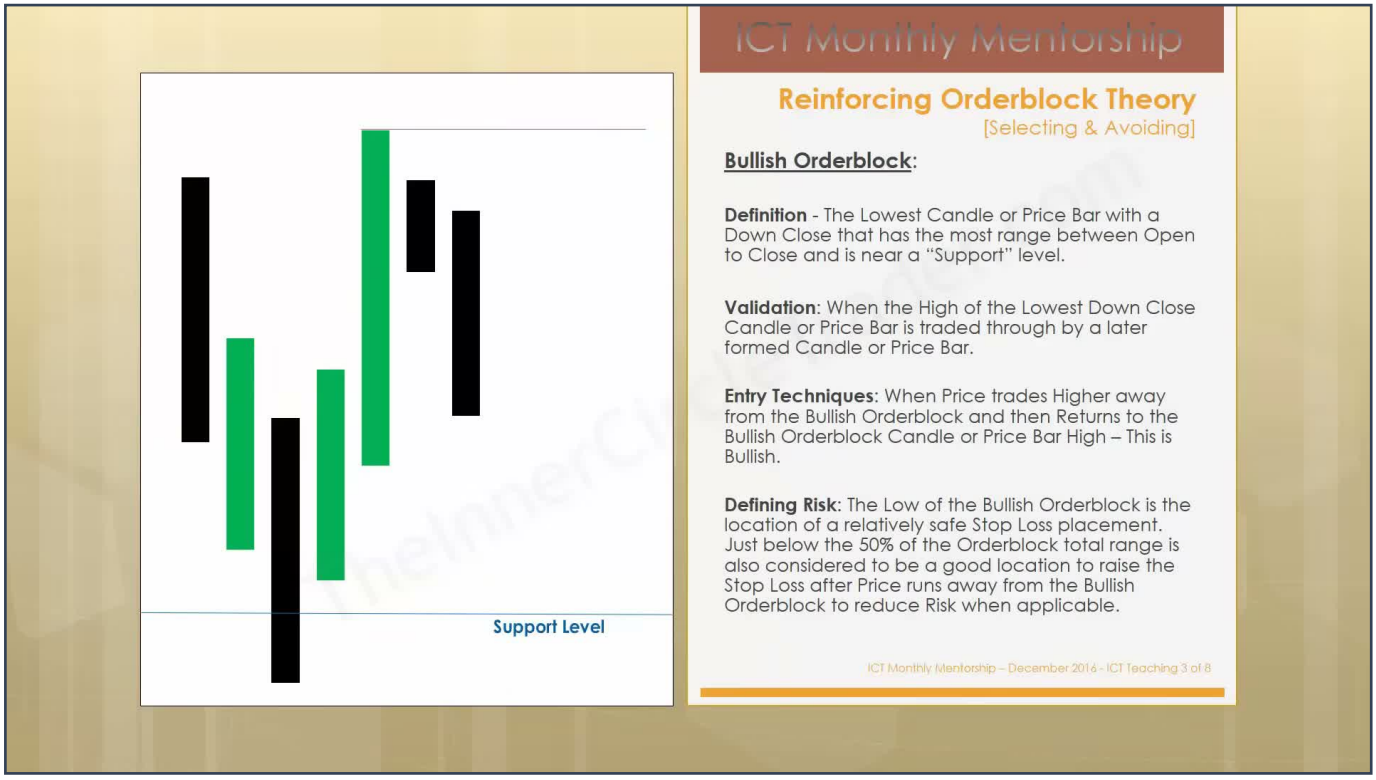

Eventually, price should show responsiveness and trade up and through the old high.

- At this point, take partial or all profits, depending on the move's size and profitability.

- This exit pairs your long position with willing buy stops above the old high.

- This summarizes bullish order block trading.

The core concepts of order blocks, often complicated by external interpretations, are fundamentally simple.

- This teaching is a foundational understanding.

- More amplified teachings on order blocks, covering subordinate sub-topics, will be provided later in the month.

LIQUIDITY-BASED BIAS: BEARISH MARKET CONDITIONS

TIMESTAMP: 00:12:24

For a bearish liquidity-based bias, align with institutional order flow:

- Monthly, Weekly, and Daily charts are bearish (making lower lows and lower highs, support levels giving way, resistance levels respected).

- Intraday charts (four hours and less) will be correcting and retracing higher.

- Look to sell rallies (premium built into the marketplace) on intraday charts.

BEARISH ENTRY AND TARGET OBJECTIVES

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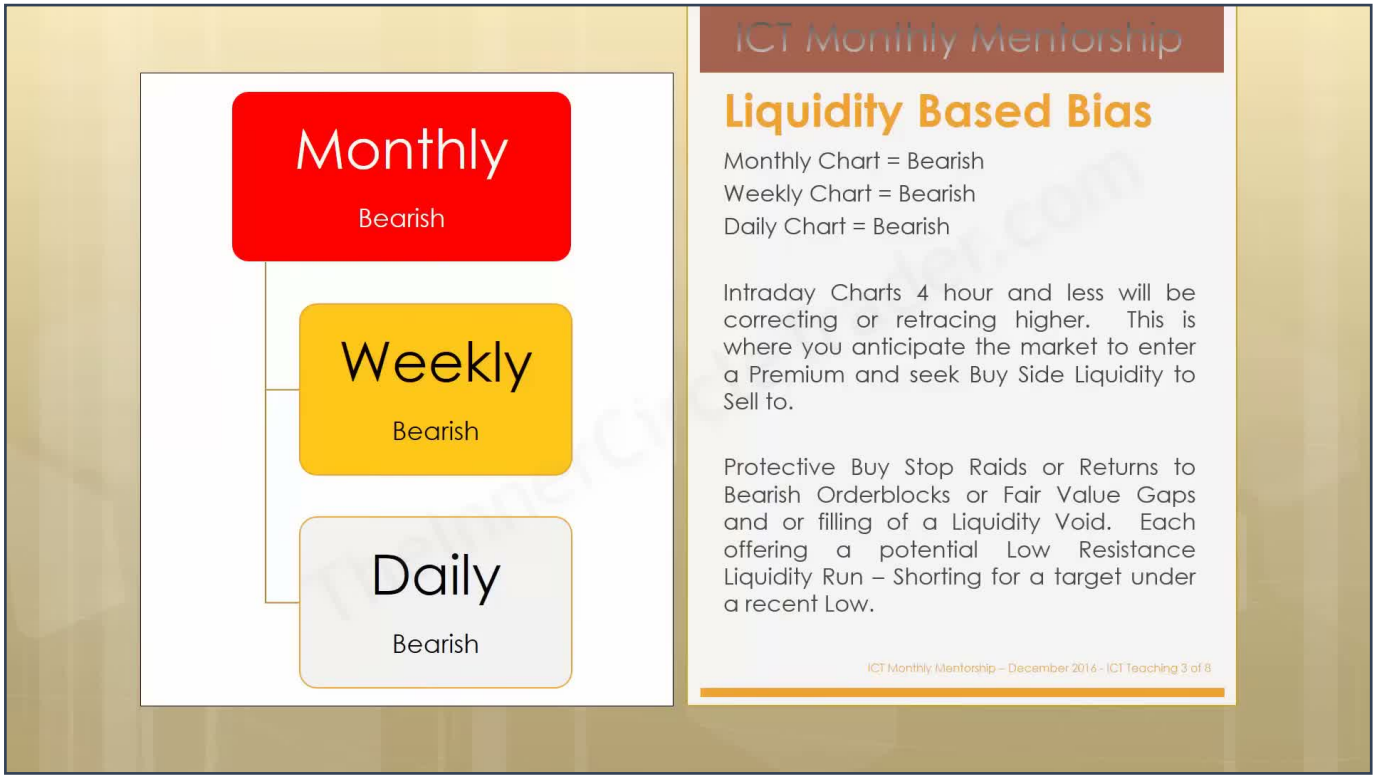

In a bearish bias, sell rallies protected by:

- Stop raids.

- Returns to bearish order blocks.

- Fair value gaps.

- Filling of a liquidity void.

Each offers potential low resistance liquidity runs.

- Target a recent low on the daily chart (where sell stops rest) or a weekly chart objective, always aligning with the monthly chart for the strongest institutional flow.

LIQUIDITY-BASED BIAS: BULLISH MARKET CONDITIONS

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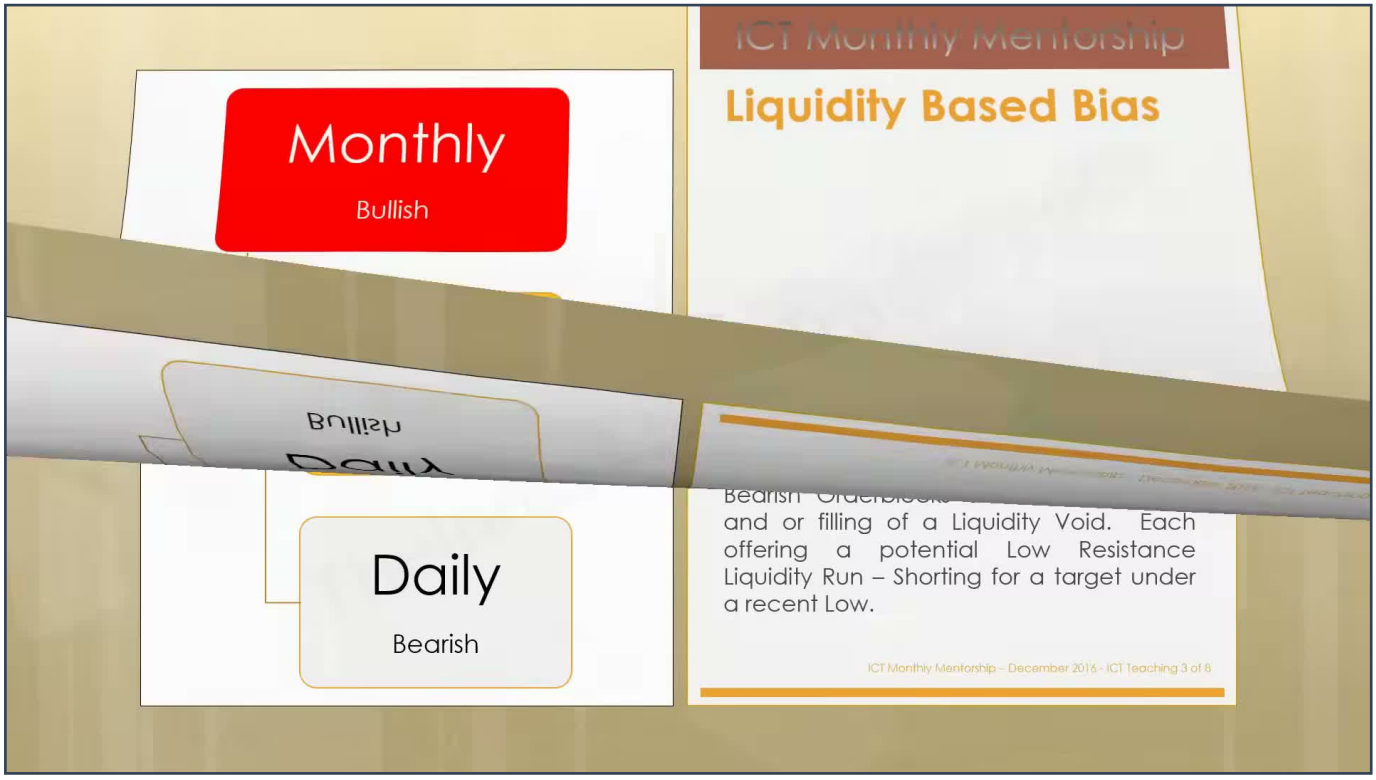

For a bullish liquidity-based bias, align with institutional order flow:

- Monthly, Weekly, and Daily charts are bullish.

- Intraday charts (four hours and less) will be correcting and retracing lower (entering a discount).

- Seek sell-side liquidity to buy from, using bullish order blocks as demonstrated.

BULLISH ENTRY AND TARGET OBJECTIVES

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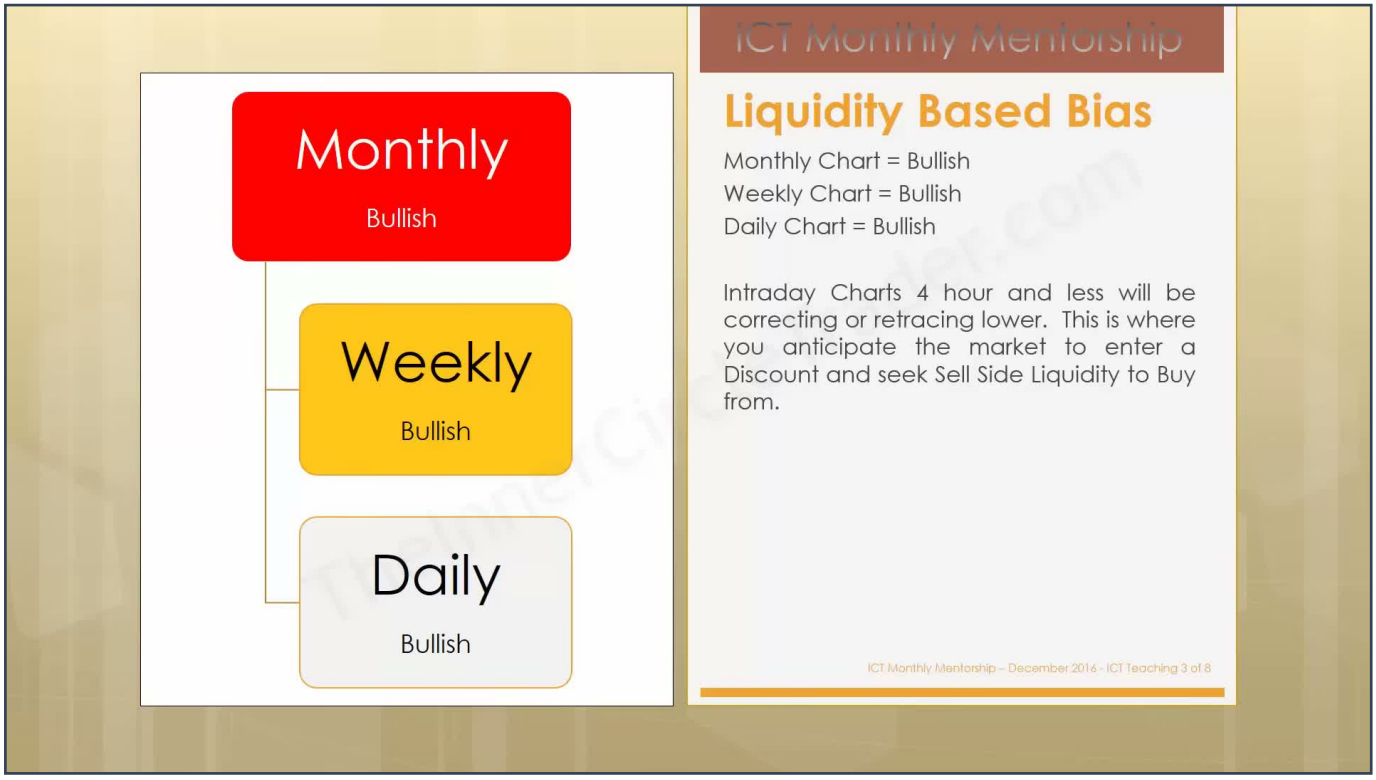

In a bullish bias, buy on corrections protected by:

- Protective sell stop raids.

- Returns to bullish order blocks.

- Fair value gaps.

- Filling of a liquidity void.

Each offers potential low risk liquidity runs.

- Target a recent high on the daily chart (yesterday's, last week's, last month's, or intra-week high) where buy stops are resting.

- Preferably, support from a weekly or monthly chart objective provides better odds and aligns with institutional order flow.

MONTHLY CHART EXAMPLE: IDENTIFYING AND VALIDATING BULLISH ORDER BLOCKS (DOLLAR INDEX)

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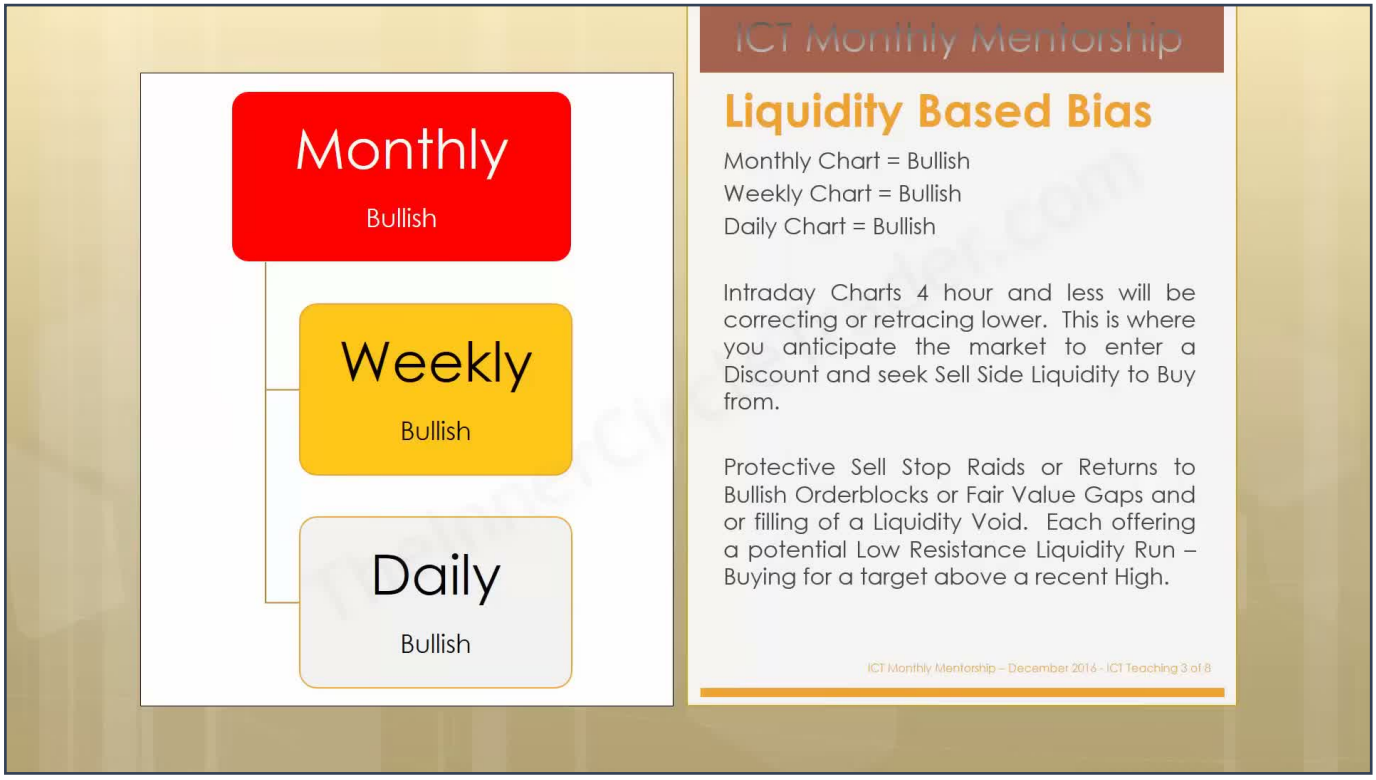


Using the Dollar Index, observe resistance levels (equal highs, indicating buy stops).

- Price trades down to a support level.

- Wait for a willingness to trade away from it.

- When an up candle violates the down candle (the potential order block) right before the support level was hit, the order block is validated.

- Example: A down candle's open at 94.58 becomes the buy level if price retrades back to it.

MONTHLY CHART EXAMPLE: ENTRY AND SUBSEQUENT ORDER BLOCKS

TIMESTAMP: 00:18:29

When price trades back down to the validated monthly order block's open (e.g., 94.58), it presents an entry opportunity.

- Note that on a monthly chart, some flexibility is needed for penetration (e.g., 50 pips).

- The goal is to find low resistance liquidity runs.

- After the initial move, if a new down candle forms off that level, it can become another potential bullish order block as price moves lower to pick up more long opportunities at a discount.

REFINING ORDER BLOCKS FROM MONTHLY TO WEEKLY CHART

TIMESTAMP: 00:20:17

The monthly order block (e.g., in May) is validated when price moves away.

- Once validated, this monthly order block level can be refined on a weekly chart.

- A down candle on the weekly chart, within the context of the monthly bullish order block, whose high is broken by a subsequent candle, becomes a refined weekly bullish order block.

WEEKLY CHART EXAMPLE: ENTRY, MEAN THRESHOLD, AND AVOIDING BEARISH ORDER BLOCKS

With the weekly refined order block, if price trades back down into its open, it's a buying opportunity.

- Observe the down candle's midpoint (mean threshold); ideally, price respects it or only slightly pierces it without closing below the body.

- This re-tracement is absorbing internal range liquidity.

- Avoid bearish order blocks (last up candle before a down move) when the higher time frame (monthly/weekly) bias is bullish, as you'd be counter-trend to institutional order flow. Bearish order blocks are only for profit-taking in a bullish market.

WEEKLY CHART EXAMPLE: PROFIT TARGETS AND RANGE EXPECTATION

TIMESTAMP: 00:25:06

In a bullish weekly scenario, expect price to run above previous highs (external range liquidity).

- The range from the entry point to these highs can offer significant pips (e.g., 290-300 pips).

- Sell your long positions to willing buyers (those with buy stops) above these highs.

- As a general rule, look for price to rally at least two to three times the height (range from open to close) of the order block's body as a healthy expansion before re-tracement.

DAILY CHART REFINEMENT AND RE-ENTRY OPPORTUNITIES

TIMESTAMP: 00:28:00

Continue refining order blocks down to the daily time frame.

- As price makes new down candles at higher levels, these become new potential bullish order blocks to refine the entry level.

- Each time a new down candle is formed and subsequently validated (its high broken by an up candle), it presents another opportunity for re-entry or adding to long positions during retracements.

- The expectation is a rally of two to three times the order block's body height before looking for a re-tracement.

PROFIT TAKING AND EXTERNAL RANGE LIQUIDITY ON LOWER TIMEFRAMES

TIMESTAMP: 00:30:13

After entries on daily refined order blocks, take partial profits at previous weekly highs.

- When price retraces, add back the positions taken off.

- Anticipate an expansion to continue taking out higher highs (external range liquidity), where buy stops are resting, allowing for further profit taking by selling to those participants.

- This strategy allows for compounding positions and maximizing gains as price moves toward higher timeframe objectives.

DAILY CHART EXAMPLE: MULTIPLE DOWN CANDLES AND MEAN THRESHOLD APPLICATION

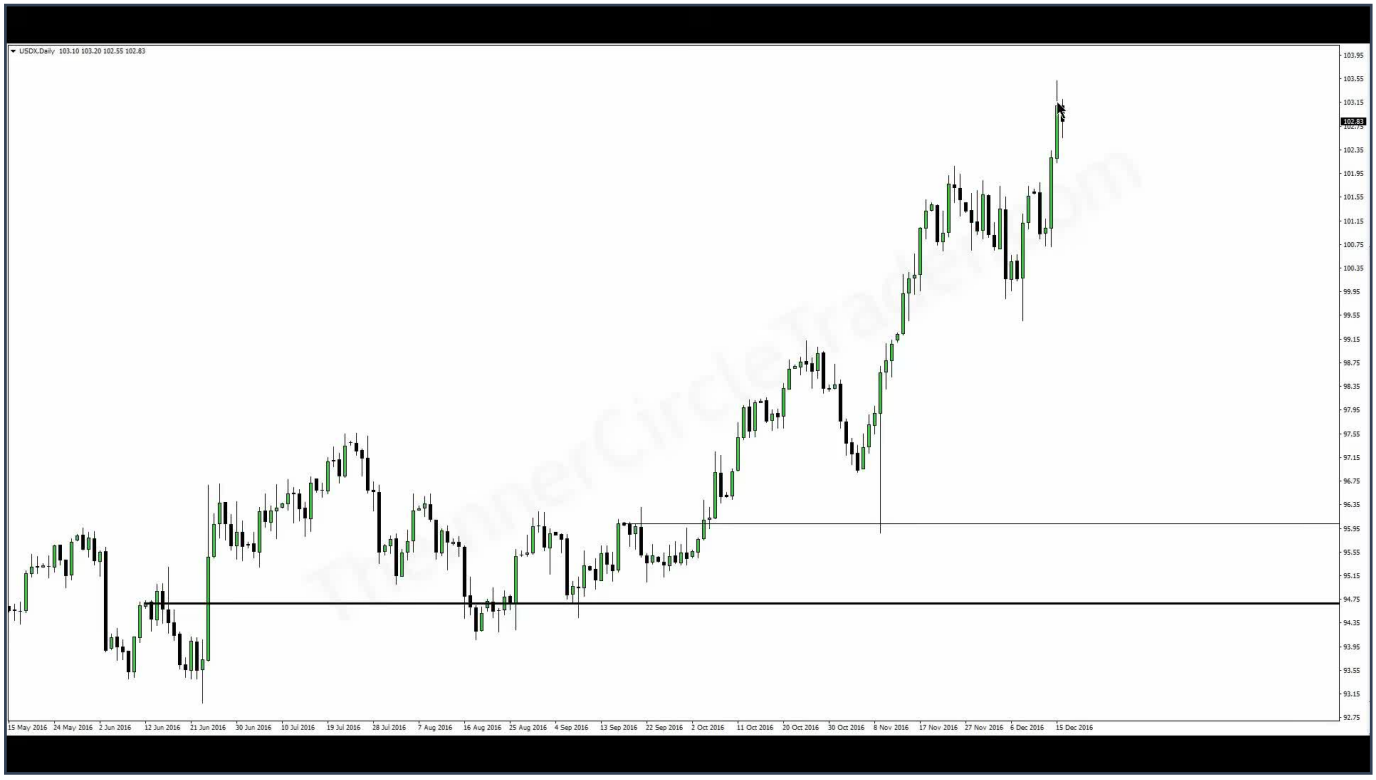
TIMESTAMP: 00:31:27

On the daily chart, when two down candles occur in a row, they should be blended to form one full bullish order block.

- The open of this blended order block becomes the focus for entries. Price might hit it, even during significant market events like elections.

- For a specific down candle, especially if the market has already run, focus on its mean threshold (midpoint of the body) as a potential entry, expecting external range liquidity above recent highs and a continued move to higher timeframe targets (e.g., 103, 104, 105, 107 for DXY).

MULTI-TIMEFRAME REFINEMENT AND AVOIDING COUNTER-TREND BEARISH ORDER BLOCKS



The dynamic interplay of monthly, weekly, and daily charts allows for refining entry levels down to even a five-minute chart for ultra-low-risk entries with small stops, while maintaining a directional bias from higher timeframes.

- Only buy bullish order blocks that align with the higher timeframe directional bias (monthly, weekly, daily).

- Bearish order blocks (last up candle before a down move) in a bullish market are primarily objectives for taking profits, not for initiating short trades.

- Avoid shorting into bearish order blocks if it's counter to institutional order flow, especially outside specific profit-taking times of day. Expect price to consolidate, then drive through old highs to absorb external range liquidity, creating a premium and drawing in more institutional participation.